

Risks Galore Business Case

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RG Enterprises (RG) is a relatively small, publicly traded corporation that is headquartered in a converted 1950s paint factory in Fargo, North Dakota along the Red River, and produces politically charged T-shirts and attire that have, historically, been marketed and intended for North Dakota citizens. RG employs 16 people. They all work onsite. Ten of them are paid \$11/hour and the CEO considers them to be independent contractors. RG has recently been selling their merchandise nationally and has contracted with an offshore company to stand up and support an eCommerce website through which orders can be placed by anyone who has an Internet connection and a credit card.

RG's eCommerce website cost more to develop and implement than the company's entire marketing budget for the previous 5 years combined, and the site has suffered periodic outages. RG's newest (and predicted to be the most popular) T-shirt line features the head and hair of Lady Gaga with the face of the Proletarian Party's presidential candidate superimposed on it, along with the title of one of Lady Gaga's songs, *Government Hooker*, printed underneath it. Unfortunately, the sales of these T-shirts has been less than 5% of the quantity that was pre-produced and RG may not have the cash on hand to make this month's payroll.

This morning, RG received notice of three lawsuits: 2 in US federal court and 1 in the state of Illinois. One of the federal lawsuits is for copyright infringement (from Lady Gaga's management company) and the other is for libel (from the Proletarian Party.) The Illinois lawsuit is accusing RG of not collecting state sales tax from Illinois citizens.

In a social media post, unrelated to the lawsuits, RG has been accused of using a black Henna paste (aka Mehendi dye) – without warning – that is known to stain skin for a prolonged period and, to make matters worse for RG, weather forecasts predict historic flooding of the Red River over the next 2-4 weeks.

RG is not large enough to maintain inside counsel and has always used the CEO's cousin when legal questions arise. That cousin is currently unavailable (having been detained for suspicion of driving under the influence) and you've been asked to weigh in.